First Nations Child and Family Caring Society of Canada et al. v. Attorney General of Canada (for the Minister of Indian and Northern Affairs Canada), 2016 CHRT 2 Case Study

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Context/History of Case

Child and Family Services are governed by provinces throughout Canada, except for services on reserves and in the Yukon, which are governed federally by Indian and Northern Affairs Canada (INAC).[1] At issue in this case was whether INAC discriminated in providing child and family services to First Nations on reserve and in the Yukon, on the basis of race and/or national or ethnic origin contrary to s. 5 of the *Canadian Human Rights Act*.[2] The funding formulas in question allotted budgets for the Federal Child and Family Services Agencies that arose from assumptions based on population thresholds and the number of children in care.[3] This method of allotting budgets differed from provincial methods that did not use formulas and instead based funding on the unique needs of each agency.[4] The Complainants contended that the funding formulas utilized by INAC denied equal child and family services for First Nations children on reserve, as compared to children off-reserve who received funding from the provincial government.

Parties

The Complainants consisted of the First Nations Child and Family Caring Society of Canada (the Caring Society), the Assembly of First Nations (the AFN), and two parties who were granted interested party status: Amnesty International and The Chiefs of Ontario.[5] The Caring Society is a non-profit organization that undertakes research, policy development, and advocacy on behalf

[1] CHRT at para 4.
[2] CHRT at para 6.
[3] CHRT at 384
[4] CHRT at ??
[5] CHRT at paras 12-13.

of First Nations agencies that are committed to the well being of children, youth, and families.[6] The AFN is a national organization that advocates on behalf of over 600 First Nations in regards to Treaty and Aboriginal Rights, education, housing, health, child welfare and social development.[7] Amnesty International is an international non-government organization that advances human rights across the globe and acted in the proceeding to assist the tribunal in understanding Canada's international human rights obligations.[8] The Chiefs of Ontario is a non-profit organization that represents 133 First Nations in Ontario and provided information on the on-reserve child welfare services in Ontario.[9] The Canadian Human Rights Commission also appeared before the Tribunal representing the public interest.

INAC is Canada's federal government department that is responsible for meeting Canada's obligations and commitment to Indigenous peoples.[10]

History of Proceedings

The issue was originally raised with the Canadian Human Rights Commission who referred the Complainants to the Canadian Human Rights Tribunal (Tribunal) for an inquiry on October 14, 2008.[11] INAC brought forward a motion to dismiss the complaint on the ground that the issues were beyond the Tribunal's jurisdiction, and that the treatment of First Nations should not be compared to provincial funding. On March 14, 2011, the Tribunal granted INACs motion.[12] The complainants then launched a judicial review of the decision, and on April 18, 2012, the Federal Court of Canada set aside the Tribunal's decision and ordered the case be heard on its merits by a different panel of the Tribunal.[13] INAC appealed the Federal Court's decision, however, they were unsuccessful and the Federal Court of Appeal upheld the lower court's decision.[14]

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[6] CHRT at para 12.
[7] CHRT at para 12.
[8] CHRT at para 13.
[9] CHRT at para 13.
[10] CHRT at para 13.
[11] CHRT at para 6.
[12] *First Nations Child and Family Caring Society of Canada and Assembly of First Nations v. Attorney General of Canada (representing the Minister of Indian Affairs and Northern Development),* 2011 CHRT 4
[13] *Canada (Human Rights Commission) v. Canada (Attorney General),* 2012 FC 445.
[14] *Canada (Attorney General) v. Canadian Human Rights Commission,* 2013 FCA 75

At the new hearing before the Tribunal, the new panel dismissed INAC's motion to have the jurisdictional issue reheard and were prepared to hear the Complaint.[15] The complaint was amended to add allegations of retaliation, which was substantiated in part by the Panel in June 2015.[16] The decision at hand finally dealt with the issues raised eight years prior.

Law

The complainants needed to establish a *prima facie* case of discrimination, which is a case that looks at the "allegations made and which, if they are believed, is complete and sufficient to justify a verdict in the complainant's favor in the absence of an answer from the respondent."[17] To demonstrate a *prima facie* case of discrimination the complainants needed to show that (a) First Nations peoples have a characteristic, or characteristics, protected from discrimination; (b) that they are being denied services or are adversely impacted by the provision of services by INAC; and (c) that the protected characteristic is a factor that in the adverse impact or denial.[18]

Honor of the Crown

Within Canada, the Crown is in a fiduciary relationship with Indigenous peoples, and it is well established the Crown must act honorably in all their dealings with Indigenous peoples.[19] This special relationship can be qualified as *sui generis* and stems from the fact that Indigenous peoples were already in North America prior to the arrival of the Europeans.[20] This relationship should not be adversarial; rather it is a trust like relationship.[21] While the Crown is in a fiduciary relationship with Indigenous peoples, that does not give rise to fiduciary obligations in every situation.[22] Fiduciary duties are imposed in relation to specific Indigenous interests.[23]

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[15] First Nations Child and Family Caring Society of Canada et al. v. Attorney General of Canada (for the Minister of Indian and Northern Affairs Canada), 2012 CHRT 17
[16] First Nations Child & Family Caring Society of Canada et al. v. Attorney General of Canada (for the Minister of Indian and Northern Affairs Canada), 2015 CHRT 14; First Nations Child and Family Caring Society of Canada c. Attorney General of Canada (Representing the Minister of Indian Affairs and Northern Development), 2012 CHRT 24.
[17] *Ont. Human Rights Comm. v. Simpsons-Sears*, 1985 CanLII 18 (SCC) at para. 28; CHRT at para 21.
[18] CHRT at para 22; see *Moore v. British Columbia (Education)*, 2012 SCC 61 (CanLII) at para. 33
[19] *Haida Nation v. British Columbia (Minister of Forests)*, 2004 SCC 73 (CanLII), at para. 16; CHRT at para 89.
[20] *R. v. Van der Peet*, 1996 CanLII 216 (SCC), [1996] 2 SCR 507, at para. 30; CHRT at para 89.
[21] *R.* v. *Sparrow*, 1990 CanLII 104 (SCC), [1990] 1 SCR 1075, at page 1108
[22] CHRT para 96.
[23] Wewaykum at paras. 80-81; CHRT para 96

Outside of the framework of s. 35(1) of the *Constitution Act, 1982* the Supreme Court of Canada has only recognized fiduciary obligations in relation to land.[24] INAC held the position that while the Crown has a general fiduciary relationship with Indigenous peoples it did not apply to the Complainants.[25] The Tribunal disagreed, finding that specific Indigenous interests protected under s. 35(1) of the *Constitution Act, 1982,* such as Indigenous cultures and languages and their transmission from one generation to the other, were impacted by INAC, and a fiduciary duty arose in the situation.[26] The Tribunal used this duty as a guiding principle in the analysis of INAC's actions.[27]

Outcome

One the first requirement for the complaint, all parties agreed that race and national or ethnic origin are prohibited grounds of discrimination under s. 3 of the *Canadian Human Rights Act* and First Nations meet this requirement.[28]

The Complainants then needed to establish that INAC was providing a service as intended by s. 5 of the *Canadian Human Rights Act.*[29] The court rejected INAC's arguments that INAC did not provide a service and its role in the provision of child and family services was limited to funding.[30] INAC's position was that the First Nations Child and Family Services agencies, or the provinces/territory with whom INAC had agreements with, were the ones who provided the service.[31] The Tribunal found that the act of providing funding constitutes a service and that INAC had a direct impact and influence on the provision of child and family services provided to First Nations children and families living on reserves and in the Yukon Territory.[32] The Tribunal made it clear that INAC "should not be allowed to evade its responsibilities to First Nations children and families residing on reserve by delegating the implementation of child and family services to [First Nations Child and Family Services] Agencies or the provinces/territory"

[24] CHRT at para 99.
[25] CHRT at para 88.
[26] CHRT at para 106.
[27] CHRT at para 110.
[28] CHRT at para 23.
[29] CHRT at para 24.
[30] CHRT at para 85.
[31] CHRT at para 33.
[32] CHRT at paras 40, 76.

and that it would not "escape the scrutiny of the [*Canadian Human Rights Act*] because it does not directly deliver child and family services on reserve."[33]

Next, the Complainants needed to establish that children on reserve were being denied services, or were adversely impacted by the provision of services by INAC. The tribunal looked at INAC's funding formulas for First Nations Child and Family Services in various provinces and numerous reports that identified critical errors with the respective formulas. The tribunal found that unlike the Child and Family Services found off reserve, which focused on preventative care and least disruptive measures, the federal Child and Family Services model focused on funding levels and formulas.[34] Because the funds for preventative care was fixed, and the funds to bring children into care was covered at cost, an incentive was created for the Federal Child and Family Services agencies to apprehend children rather than trying other alternatives first.[35] This model is contrary to provincial legislation that dictates all other measures should be exhausted before a child is taken into care.[36] The tribunal noted that INAC had not updated their primary funding formula since the mid-1990s and there was no effort made to keep it current with the child welfare legislation and practices of the provinces.[37]

Other adverse impacts from the flawed funding formulas included service gaps, delays and denials for First Nations children, as well as deficiencies in culturally appropriate programs and services, band representatives, and least disruptive measures.[38] The tribunal found that the services provided by INAC were not reasonably comparable to provincial standards to the extent that they resulted in adverse impacts for First Nations children and families living on reserve and in the Yukon.[39]

Lastly, the Complainants needed to establish that Race and/or national or ethnic origin was a factor in the adverse impacts or denials. The tribunal found that this criterion was met as the funding formulas were specifically aimed at First Nations peoples living on reserve, and were this *prima facie* adversely differentiated and/or denied services because of their race and/or national or ethnic origin.[40]

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[33] CHRT at para 84.
[34] CHRT at 341
[35] CHRT at 341, 244
[36] CHRT 342, 344
[37] CHRT 385, 387
[38] CHRT at 389.
[39] CHRT 389
[40] CHRT at 396

Furthermore, the tribunal found that adverse impacts perpetuated the historical disadvantage and trauma suffered by Aboriginal people, in particular as a result of the Residential Schools system.[41] The court summarized Dr. John Milloy's, a historian and author of *A National Crime, The Canadian Government and the Residential School System, 1879 to 1986*, evidence:

> During the Residential Schools era, Aboriginal children were removed from their homes, often forcibly, and brought to residential schools to be "civilized". Living conditions in many cases were appalling, giving place to disease, hunger, stress, and despair. Children were often cold, overworked, shamed and could not speak their native language for fear of severe punishment, including some students who had needles inserted into their tongues. Many children were verbally, sexually and/or physically abused. There were instances where students were forced to eat their own vomit. Some children were locked in closets, cages, and basements. Others managed to run away, but some of those who did so during the winter months died in the cold weather. Many children committed suicide as a result of attending a Residential School.[42]

A large number of Indigenous children died while "in care" of the Residential School system.[43] Those who survived were left psychologically scarred.[44] Between 1880 and 1960 the Residential Schools operated as a school system, after which it was transformed into an aspect of the child welfare system.[45] In the late-1960s the federal government took over the management of Residential Schools from the church changing the focus from education to child welfare, and would only admit orphans and neglected children.[46] The last Residential School closed in 1986 and the First Nations Child and Family Services Program was implemented in 1990.[47] The Tribunal found that "[s]imilar to the Residential Schools era, today, the fate and future of many First Nations children is still being determined by the government, whether it is through the application of restrictive and inadequate funding formulas or through bilateral agreements with the provinces" that restricted the ability of First Nations Child and Family Services Agencies to provide adequate and culturally sensitive care.[48]

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[41] CHRT para 394
[42] CHRT at 406-07
[43] CHRT at 408
[44] CHRT at 408
[45] CHRT at 413
[46] CHRT at 413
[47] CHRT at 414
[48] CHRT at 426

Amnesty International aided the tribunal in understanding the relevance of Canada's international human rights obligations to the Complaint, including the *United Nations Declaration on the Rights of Indigenous Peoples*, when the tribunal interpreted s. 5 of the *Canadian Human Rights Act*.[49] INAC contended that the arguments advanced by Amnesty International alleging that the Government of Canada was in violation of its international obligations was beyond the purview of the complaint.[50] The Tribunal disagreed, finding that international human rights instruments should be utilized when interpreting domestic legislation, and summarizing the governing principles as follows:

> In order to form part of Canadian law, international treaties need national legislative implementation, unless they codify norms of customary international law that are already found in Canadian domestic law. However, when a country becomes the party to a treaty or a covenant, it clearly indicates its adherence to the contents of such a treaty or covenant and therefore makes a commitment to implement its principles in its national legislation. This public engagement is solemn and binding in international law. It is a declaration from the country that its national legislation will reflect its international commitments. Therefore, international law remains relevant in interpreting the scope and content of human rights in Canadian law.[51]

The Tribunal then reiterated the principle that "Parliament and the provincial legislatures are presumed to respect the principles of international law," which "leads the Supreme Court to look at decisions and recommendations of human right bodies to interpret the scope and content of domestic law provisions in the light of international law."[52] The UN *Declaration on the Rights of Indigenous Peoples* was therefore relevant to interpreting the *Canadian Human Rights Act*.

The Tribunal looked at article 2 of the UN *Declaration on the Rights of Indigenous Peoples* which provides that "Indigenous peoples and individuals are free and equal to all other peoples and individuals and have the right to be free from any kind of discrimination, in the exercise of their rights, in particular that based on their indigenous origin or identity."[53] This provision reflects that equality must be substantive, and not merely formal, and to uphold art. 2

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[49] CHRT at 428.
[50] CHRT at 430
[51] CHRT at 431
[52] CHRT at 432-433.
[53] Art 2 UNDRIP; CHRT at 452

of the UN *Declaration* steps must be taken to improve the on-reserve Child and Family Services provided to First Nations children.[54]

In summary, the tribunal ruled in favor of the complainants finding that they established a *prima facie* case of discrimination under s. 5 of the *CHRA* as First Nations children and families living on reserve and in the Yukon are denied equal child and family services and/or differentiated adversely in the provision of child and family services.[55] Moreover, "[s]ubstantive equality and Canada's international obligations require that First Nations children on-reserve be provided child and family services of comparable quality and accessibility as those provided to all Canadians off-reserve, including that they be sufficiently funded to meet the real needs of First Nations children and families and do not perpetuate historical disadvantage."[56]

Follow up

Pursuant to s. 52(3) of the *Canadian Human Rights Act* the Tribunal was able to make an order against INAC with the aims of eliminating the discrimination, rather than punishment.[57] The tribunal ordered that INAC cease its discriminatory practices and reform the First Nations Child and Family Services program and various provincial agreements to reflect the findings of the Tribunal's decision.[58] The Panel reserved it's right to release additional orders due to the complexity of the case, and requested clarification on the relief sought, and how short and long-term changes can be implemented in a meaningful and effective way.[59] The Panel advised the parties that it would address the outstanding issues in a three-step process. First, it would address requests for immediate reform, second, it would address requests for the long term, and thirdly it would address requests for compensation.[60]

INAC did not appeal the Tribunal's decision, and committed itself to reforming the First Nations Child and Family Services program and create meaningful change.[61] However, to date little action has taken place. INAC was subject to numerous compliance orders from the

[54] CHRT at 453
[55] CHRT at 456
[56] CHRT at 455
[57] CHRT at 468
[58] CHRT at 481
[59] CHRT at 483
[60] 2016 CHRT 10 para 4-5.
[61] 2016 CHRT 10 para 6

Canadian Human Rights Tribunal and made few concrete steps towards change.[62] The Caring Society and the Assembly of First Nations made numerous submissions on INAC's non-compliance and what was required for relief to the Tribunal, the House of Commons, and the Inter-American Commission on Human Rights.[63]

In the Committee on the Elimination of Racial Discrimination's Concluding observations on the twenty-first to twenty-third periodic reports of Canada, the Committee was "alarmed that despite its previous recommendation…and multiple decisions by the Canadian Human Rights Tribunal, less money is reportedly provided for child and family services to Indigenous children than in other communities, and that this gap continues to grow" and that Canada "has failed to address the root causes of displacement, while tens of thousands of children are needlessly removed from their families, communities and culture and placed in state care."[64] The CERD called on Canada to fully implement the Tribunal's rulings.[65]

To date efforts continue to be made to ensure INAC complies with their obligations and addresses the inadequate and discriminatory Child and Family Services provided to First Nations children on reserve.

Cultural Implications

Inadequate funding for First Nations children on reserve has many cultural implications. Funding inadequacies directly impacted the agencies abilities to provide culturally appropriate services.[66] Specific provincial agreements, such as the *1965 Agreement* in Ontario completely denied funding for Band Representatives.[67] Further, all funding agreements did not have any standards for First Nations Child and Family Services Agencies to provide culturally appropriate services

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[62] 2016 CHRT 10 paras 21-23; 2016 CHRT 16; 2017 CHRT 14
[63] https://fncaringsociety.com/sites/default/files/Standing%20Committee%20on%20Finance%20-%20EN.pdf; https://fncaringsociety.com/sites/default/files/CaringSociety%20motions%20of%20non-compliance%20v.%20Attorney%20General%20of%20Canada%20November%2022%202016.pdf; https://fncaringsociety.com/sites/default/files/AFN%20motions%20of%20non-compliance%20v.%20Attorney%20General%20of%20Canada.pdf; https://fncaringsociety.com/sites/default/files/Cover%20Letter%20IACHR%20-%20November%2029%202016.pdf
[64] CERD/C/CAN/CO/21-23 Para 27
[65] CERD/C/CAN/CO/21-23 Para 28
[66] CHRT 389
[67] CHRT at 425

comparable to provincial standards and did not even define what culturally appropriate services are in their policies.[68]

Additionally, the inadequate funding results in more children being taken into care, causing many of the same harms as the Residential School System.[69] INAC could not provide any statistics on how many children taken into care remain in their communities or are placed with First Nations foster families.[70] The tribunal draws the connections between INAC's child and family services and the Residential School System stating:

> With unrealistic funding, how are some First Nations communities expected to address the effects of Residential Schools? It will be difficult if not impossible to do, resulting in more kids ending up in care and perpetuating the cycle of control that outside forces have exerted over Aboriginal culture and identity…
>
> Similar to the Residential Schools era, today, the fate and future of many First Nations children is still being determined by the government, whether it is through the application of restrictive and inadequate funding formulas or through bilateral agreements with the provinces.[71]

INAC's funding formulas have perpetuated the cultural damage created by the Residential School System. The apprehension of Indigenous children is occurring through INAC's lack of funding for culturally appropriate services and preventative measures.

Best Practices

This case highlights how a quasi-judicial tribunal effectively used the UN *Declaration* to interpret Indigenous peoples' rights under Canada's domestic legislation, the *Canadian Human Rights Act.* The Tribunal granted Amnesty International interested party status so Amnesty International could provide them with information on the relevance and applicability of international human rights instruments to the case at hand. The Tribunal considered and upheld Canada's international obligations enunciated in numerous international human rights instruments, such as the *Convention on the Rights of the Child*, the *International Covenant on*

[68] CHRT at 187; 424
[69] CHRT at 187
[70] CHRT at 187
[71] CHRT at 425-26

Civil and Political Rights, the *International Covenant on Economic, Social and Cultural Rights*, the *Convention on Elimination of all Forms of Discrimination*, the *Universal Declaration on Human Rights* and the *Declaration on the Rights of Indigenous Peoples.*[72]

Despite INAC's arguments that any claims alleging that Canada was violating its international obligations were beyond the purview of the Tribunal, the Tribunal held that even if the instruments had not been implemented into domestic law, international law remains relevant when judicial bodies interpret the scope and content of human rights in Canadian law.[73] The Tribunal reviewed the jurisprudence on the matter and found that it was within their purview to apply the international law principles to the case at hand.

The Tribunal specifically looked at article 2 of the UN *Declaration* and highlighted that "Indigenous peoples and individuals are free and equal to all other peoples and individuals and have the right to be free from any kind of discrimination, in the exercise of their rights, in particular rights based on their indigenous origin or identity."[74] By utilizing the UN *Declaration*, and providing a discussion on the application of international human rights instruments, the Tribunal opened the door for other judicial bodies to do the same.

[72] CHRT 428
[73] CHRT 431
[74] CHRT 452